

VALUE ADDED SERVICES



STRATEGY

We offer customers streamlined payment systems and a range of Value Added Services (VAS) through interconnected channels, aiming to give them full control over their finances. With an extensive branch network, we efficiently process utility payments, foreign currency exchange, and money remittance (Western Union) to meet our clients' needs comprehensively.

CORE COMPETENCIES

- Versatile customer-focused solutions
- Consistent and uninterrupted service delivery
- Wide multi-channel network for easy accessibility
- Exceptional service, quick response time, and ongoing assistance

PERFORMANCE HIGHLIGHTS

VAS VOLUME
Rs. 5,724 Mn
(2022/23- Rs. 5,513 Mn)

WESTERN UNION
TRANSACTION
VOLUME
Rs. 4,594 Mn
(2022/23- Rs. 4,742 Mn)

BILL PAYMENT
TRANSACTIONS
VOLUME GROWTH
57%
(2022/23- 4%)

FOREIGN CURRENCY OPERATIONS (FC)

Operating Context and Strategy

The volatile exchange rate adversely impacted the FC operations during the year whilst the increase in tourist arrivals and Sri Lankans going overseas for employment positively impacted FC operations in FY 2023/24.

To mitigate the impact of volatile exchange rates, we refrained from stockpiling currencies and increased the gap of buying and selling rates to minimise potential losses. Instead, we opted for immediate currency trading to adapt swiftly to market fluctuations.

The 106% YoY surge in tourist arrivals led to a 19.35% increase in foreign currency exchange transactions. While foreign currency operations were initially limited to 63 branches, we are currently in the process of expanding this service to all branches to increase our transaction volumes.

Additionally, we have initiated discussions with the Central Bank of Sri Lanka (CBSL) to exchange Indian Rupees following the permission granted by the CBSL to trade in these currencies. This development opens new avenues for us to diversify our money exchange portfolio and better serve our customers' needs.

PRODUCT PORTFOLIO



SWOT ANALYSIS

Strengths

- Strong reputation
- Exceptional customer service
- Long operating hours
- Loyal customer base

Weaknesses

- Unexpected network and technical issues.

Opportunities

- Automation and digitisation to enhance customer experience
- Resurgence of tourism
- Increased number of expatriates
- Rise in migration
- Ability to cross sell other products.

Threats

- Volatility in exchange rate
- Intense competition
- Competitive mobile apps
- Competitors' customer loyalty programmes

BUSINESS REVIEW

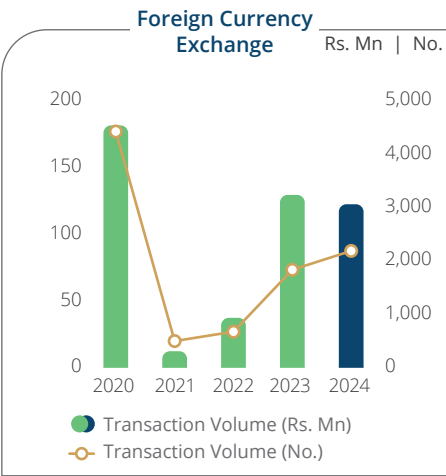
VALUE ADDED SERVICES

Marketing campaigns were carried out to enhance our visibility, create customer awareness and improve the accessibility of our services. Visibility was improved both internally and externally through mediums such as A-boards, door stickers, advertising on Monopoles, sideboards, and LED panels. Internally, we used backdrops and tabletops to maintain consistent visibility.

To foster awareness, we used SMS, leaflets, and social media platforms. Moreover, through strategic cross-selling and increasing customer awareness, we strive to continually enhance our brand recognition and service accessibility.

Performance

The transaction volumes increased by 19.35% YoY, but the value of transactions recorded a slight decline of 4.92% YoY, primarily due to the decrease in the exchange rate throughout the FY. The exchange rate dropped from Rs. 330 to Rs. 300 by the end of the fiscal year, impacting transaction values accordingly.



Outlook

Looking ahead, we aim to further expand our transaction volumes by leveraging the resurgence in the market. We plan to collaborate with travel agents and hotels to offer currency transactions at special rates, thereby capturing a larger market share. Moreover, maintaining our competitive exchange rates remains a priority going forward.

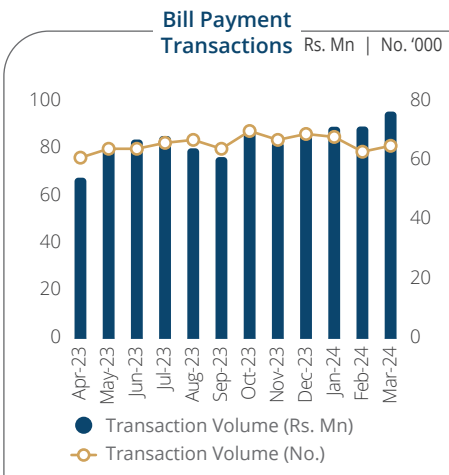
BILL PAYMENTS

Operating Context and Strategy

During the year, we partnered with mCash to streamline bill payments through our platform to Western Union sub-agents affiliated with LBF. Our objective is to expand and enhance this initiative in the coming years to tap into a broader market segment. Additionally, we plan to leverage the mCash app to facilitate insurance payments for leasing facilities. Moreover, customers are enabled to make bill payments through the CIM app.

Performance

The transaction volumes increased by 57% YoY, mainly driven by the increase in bill values. However, the value of transactions recorded a slight decline of 4.29% YoY, primarily due to the decrease in reload transactions.



Outlook

We aim to expand our reach through collaborative promotions with more communication service providers to elevate awareness of the CIM App. Additionally, aim to grow our volumes by implementing branch targets, with recognition and rewards given to high achievers. Our aim is to achieve a significant increase of 10,000 transactions to reach a total of 75,000 in the ensuing FY.

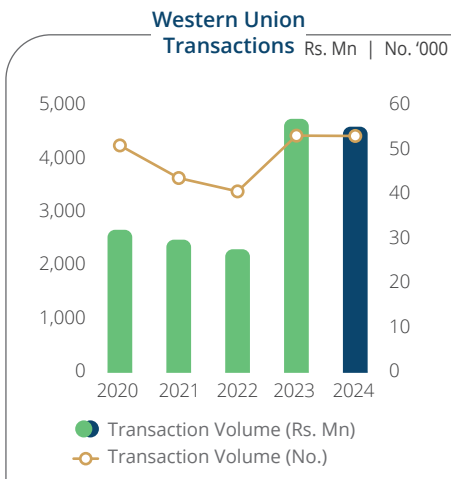
WESTERN UNION

Operating Context and Strategy

We continued to capitalise on our status as a principal agent of the Western Union money transfer network, strengthened by the appointment of sub-agents. The LB CIM Business Loan team also engaged in cross-selling and raising awareness of the LBF's money transfer facility. Through our remittance service, we primarily facilitate cash transactions, enabling recipients to collect their funds in person. However, a decreasing trend was observed in cash transactions. To address this trend, we are exploring the feasibility of integrating cash transactions into the CIM App, aligning with evolving customer preferences and enhancing convenience for our use. To achieve volumes, we have assigned staff targets with rewards. Additionally, a customer loyalty programme was implemented, rewarding customers based on the value of their transactions. We have remained committed to facilitating cash transactions, ensuring convenience and reliability for our customers.

Performance

The total Dollar remittances processed through LBF's Western Union channel increased by an impressive 9.38% YoY. The Rupee volume decreased marginally by 3.12% whilst the number of transactions too declined by a marginal 0.14% YoY.





	Short-term	Medium-term	Long-term
Objectives and goals	Enhance focused promotional efforts to ensure top-of-mind awareness among all key customer segments for foreign currency exchange	Improve the customer experience by integrating digital solutions for money transfers	Amid intense competition in the market and taking proactive measures to mitigate risks.
Related strategic pillars			
Related material matters			
Related stakeholders			
SDGs impact	8 9	9 11	8 9 10 12